

sound rather silly. If you know your common stocks equally well, many of the arguments commonly heard for selling the good one sound equally silly.

You may be thinking all this sounds fine, but actually classmates are not common stocks. To be sure, there is one major difference. That difference increases rather than decreases the reason for never selling the outstanding common stock just because it has had a huge rise and may be temporarily overpriced. This difference is that the classmate is finite, may die soon and is sure to die eventually. There is no similar life span for the common stock. The company behind the common stock can have a practice of selecting management talent in depth and training such talent in company policies, methods, and techniques in a way which will retain and pass on the corporate vigor for generations. Look at Du Pont in its second century of corporate existence. Look at Dow years after the death of its brilliant founder. In this era of unlimited human wants and incredible markets, there is no limitation to corporate growth such as the life span places upon the individual.

Perhaps the thoughts behind this chapter might be put into a single sentence: If the job has been correctly done when a common stock is purchased, the time to sell it is—almost never.